

Strategic Modeling — Module 08: Planning —

Discussion Questions

20 questions on scenario planning, real options, strategic risk, and resilient strategies.

1. How do scenario planning approaches differ from traditional forecasting? When is each more appropriate?
2. Intel invested in EUV lithography as a "real option." Explain the logic: why is an option worth paying for even if you might never exercise it?
3. How does a "resilient strategy" differ from an "optimal strategy"? When should firms prefer resilience?
4. What determines how many scenarios an organization should develop (typically 3-4 versus more)?
5. How does real options thinking change capital allocation decisions?
6. When is strategic flexibility more valuable than strategic commitment? How do you decide?
7. How should "signpost monitoring" be integrated into routine management processes?
8. What distinguishes strategic risk from operational risk? Why do most risk management systems focus on operational risk?
9. How do existential risks (industry obsolescence, regulatory transformation) require different management than near-term risks?
10. When should a company deliberately make its strategy more fragile (concentrated) rather than resilient (diversified)?
11. Construct three scenarios for a key uncertainty in your industry. Include best case, worst case, and a surprising but plausible scenario.
12. Evaluate your organization's current strategy under each of your three scenarios. Where is it robust and where is it fragile?
13. Identify three real options your organization currently holds. How are they being managed?
14. Define five "signposts" that would tell you which of your scenarios is unfolding.

15. Design a "strategic risk register" that covers operational, strategic, and existential risks.
16. Compare the scenario planning approach of Shell (which pioneered it) with a company that does traditional planning. What outcomes differ?
17. How should a startup (limited resources, high uncertainty) approach strategic risk management differently from an established firm?
18. When should an organization exercise a real option (commit to the investment) versus continue waiting?
19. Design a "strategy stress test" that evaluates how your strategy would perform under 5 different adverse conditions.
20. How does the time horizon of planning affect the balance between resilience and optimization?